



Think Ahead

Advanced Financial Management (AFM) March/June 2022 Examiner's report

The examining team share their observations from the marking process to highlight strengths and weaknesses in candidates' performance, and to offer constructive advice for those sitting the exam in the future.

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General comments

This examiner's report should be used in conjunction with the published March/June 2022 sample exam which can be found on the [ACCA Practice Platform](#).

In this report, the examining team provide constructive guidance on how to answer the questions whilst sharing their observations from the marking process, highlighting the strengths and weaknesses of candidates who attempted these questions. Future candidates can use this examiner's report as part of their exam preparation, attempting question practice on the [ACCA Practice Platform](#) and reviewing the published answers alongside this report.

Prysor Co

The screenshot shows the ACCA exam interface for the Prysor Co question. The top bar indicates 'AFM March/June 2022 (21/22 syllabus)' and '1 of 3' questions. The left sidebar contains 'Exhibits' (1. Prysor Co's investment in Elan, 2. Investment appraisal details, 3. Campaign For Fair Production), 'Requirements (50 marks)', and 'Response Options' (Word Processor, Spreadsheet). The main area displays the question text and requirements. The question text states: 'The following exhibits, available on the left-hand side of the screen, provide information relevant to the question: 1. Prysor Co's investment in Elan; 2. Investment appraisal details; 3. Campaign For Fair Production. This information should be used to answer the question requirements within your chosen response option(s).' The requirements are: (a) Explain the role of the World Trade Organisation and assess the implications for Prysor Co of the free trade agreement between Elan and Marteg in the context of the World Trade Organisation's requirements. (4 marks); (b) Prepare a report for the board of directors of Prysor Co which: (i) Evaluates the financial acceptability of the investment in Elan; (17 marks); (ii) Discusses the assumptions made with respect to the calculations in (b)(i) above; (5 marks); (iii) Calculate: • The investment's duration; (2 marks); • The % change in initial selling price required for the investment to have a zero net present value, based on sales revenue; (6 marks); (iv) Discusses the significance of, and concerns with, the calculations in (b) (iii) above. Professional marks will be awarded in part (b) for the format, structure and presentation of the report. (4 marks); (c) Discuss the factors that may determine the extent to which Prysor Co adopts the Campaign For Fair Production's charter in developing its framework for investment policy. (6 marks).

General comments on exam technique and time management

Prysor Co was a 50-mark question which translates into 90 minutes to spend on this question (based on 1.8 minutes per mark). It is very important candidates thoroughly read the question to become familiar with the scenario as important facts and figures can easily be missed. You must then plan your answer to enable you to have the opportunity to gain the maximum marks for each section. These steps must be built into your time management for each requirement of the question. Identify the areas where you feel you can gain marks the most easily and ensure you have the time to complete each requirement.

General comments on the question

Prysor Co relates to Section B of the syllabus: international investment and financing decisions. The scenario for this question is a proposal to set up an overseas subsidiary. It required candidates to undertake an investment appraisal using the net present value (NPV) method taking account of different currencies and produce a report covering 2 main areas: the assumptions made in undertaking the appraisal and a discussion on the calculations of duration and sensitivity required for part biii of

the question. Two additional discursive parts related to the World Trade Organisation (WTO) and the introduction of a Fair Production Charter. (FPC)

The detailed review below focuses on each area and highlights the approach taken by candidates and any issues that need to be addressed when using this question as a study aid.

Requirement (a) – 4 marks

Explain the role of the World Trade Organisation and assess the implications for Prysor Co of the free trade agreement between Elan and Marteg in the context of the World Trade Organisation's requirements.

Part (a) required candidates to explain the role of the World Trade Organisation (WTO) and the implications of a free trade agreement.

Candidates generally could explain the role of the WTO quite well. The majority of answers included the reduction in trade barriers and the resolution of trade disputes and this was sufficient to gain 2 marks. Few candidates were very knowledgeable about the free trade area and that it is an exception to WTO terms so there tended to be quite a lot of repetition relating to the reduction of trade barriers.

Requirement (b)

The requirement for b is that all the sub-sections are discussed in report format. Candidates are on the whole recognising what they need to do to gain full marks for this format and a high proportion were awarded 3 or above. There are still a surprising number of candidates that are not submitting their answer in any form of report. It is generally expected that candidates will use the spreadsheet function for the calculations and refer to these as appendices and answer the discussion elements in a word document properly headed up with an introduction, headed sections and a conclusion. Many candidates missed out on the opportunity to gain full marks as they forgot to add a conclusion.

Requirement (bi) – 17 marks

Prepare a report for the board of directors of Prysor Co which:

(i) Evaluates the financial acceptability of the investment in Elan;

This part of the question required candidates to undertake an investment appraisal using the NPV method but taking account of the fact that Prysor, based in Marteg (currency M\$), was considering setting up a foreign subsidiary in Elan (currency ED).

The calculations required were mainly done well. Candidates needed to adopt a 2 stage approach. Firstly, identifying all the relevant costs in ED to come to a remittable cash flow, then translating the remittable cash flows into M\$, applying any further relevant costs/income and finally discounting the cash flow and calculating the NPV.

The question expected candidates to apply Purchasing Power Parity (PPP) to forecast the ED/M\$1 rate for the next 4 years using the inflation rates given. On the whole candidates got this right and gained the 2 marks. However there were a significant number of candidates who completed the appraisal in one currency using the same exchange rate for all 4 years. Candidates that followed the correct two stage method but failed to forecast the future exchange rates were still able to pass this section as marks were awarded using the “own figure rule” (OFR)

The question was designed to test a candidate’s ability to apply inflation rates to costs and although this was mostly done well the different inflation rates in each year meant the approach was slightly different to other questions which have used a compounding approach. There were 2 out of 3 marks for correctly inflating the component cost and the majority of candidates did this correctly.

A common mistake made by candidates not scoring so highly was the calculation of tax. The tax calculation for Elan was more straightforward than in some recent questions as the tax allowable depreciation was given in the question and it was also stated that no tax was to be payable in the first 2 years. Over half the candidates followed these rules and were awarded the full 2 marks. However a surprising number of candidates didn’t use the tax allowable depreciation given but calculated their own and ignored the fact that no tax was payable in the first 2 years This emphasises the point made at the start of this report about thoroughly reading the facts of the scenario and applying them to the requirement.

Many candidates scored full marks for the remittable cash flow which included marks for the forecast exchange rate, the tax and the component cost. The next part of the calculation was not as well answered. The remittable cash flow needed translating to M\$ and other costs and calculations applied before discounting the final cash flow. There was additional tax to pay in Marteg and many candidates based this on the remittances rather than the taxable profit. There was also additional contribution and lost contribution plus associated tax effects to be calculated before discounting the final cash flow required to produce an NPV. Even if a candidate didn’t do as well in the second part of the calculation, by converting the cash flow and calculating an NPV the majority of candidates still gained some marks on this element of the requirement.

The use of rounding is an area where candidates could improve. There are several cases where a candidate was not consistent with their rounding format e g moving from \$m to \$ 000’s in the middle of a calculation which then leads to unnecessary loss of marks. It is recommended that candidates follow the rounding format given in the question. Suggested solutions will provide a good guide to future candidates to help them determine an appropriate level of rounding to be used.

On the whole candidates are using the spreadsheets well but a few candidates lose marks because the figures are incorrect and there are no formulae to check them. Mistakes are only penalised once and therefore formulae are needed to ensure the OFR can be followed and marks awarded appropriately. It is also good practice to use commas to separate thousands where big numbers are included to ensure comparability.

Well prepared candidates were able to score extremely well on this requirement of the question.

Requirement (bii) – 5 marks

(ii) Discusses the assumptions made with respect to the calculations in (b)(i) above;

This requirement was well answered by about half of the candidates but although the requirement is very clear in that it requires a discussion of the assumption made in respect of the calculations too many candidates submitted a list of basic assumptions with nothing added and very often copied straight from the question. The marks were capped at 2 out of 5 if there was no discussion at all. The better candidates were able to identify key assumptions and discuss why they were important.

Requirement (biii) – 8 marks

(iii) Calculate:

- **The investment's duration;**
- **The % change in initial selling price required for the investment to have zero net present value, based on sales revenue;**

This requirement required students to calculate the duration of the project and the sensitivity of the NPV to the initial selling price. There were 2 marks for the duration and 6 marks for the sensitivity to the selling price (SP) which required a much more detailed calculation. Many candidates achieved the 2 marks for the duration using the OFR. There were two common mistakes made by those candidates that didn't score well on the duration: one was calculating the payback and the other was dividing the PV by the initial investment. The sensitivity to the selling price was generally poorly attempted. The main issue was not including the tax effects for both the tax in Elan and the additional tax in Marteg. The majority of candidates discounted the revenue and some of the better responses took account of the exchange rate but the tax effect in both countries was missed by most candidates.

Requirement (biv) – 6 marks

(iv) Discusses the significance of, and concerns with, the calculations in (b)(iii) above.

Professional marks will be awarded in part (b) for the format, structure and presentation of the report.

This requirement was the one that was most challenging. Few candidates were able to discuss duration with many mistakenly discussing payback. There were 6 marks in total for the discussion with 3-4 marks for the sensitivity discussion. Very few candidates managed to score above 2 for their discussion on sensitivity as they concentrated on discussing the method rather than the concerns with using it.

Requirement (c) – 6 marks

(c) Discuss the factors that may determine the extent to which Prysor Co adopts the Campaign For Fair Production's charter in developing its framework for investment policy.

This requirement carried 6 marks and required a candidate to discuss factors that determine the extent to which Prysor may adopt a Fair Production Charter. The main features of the charter were given in the question scenario, and it was a good example of requiring candidates to apply their knowledge to a term not familiar to them but based on the syllabus. The charter went beyond Prysor's legal responsibilities and required fairer wages and education of workers. Responses were variable with not many candidates scoring high marks. Answers that were awarded high marks included points made in the suggested solution such as reputation, impact on shareholders and other stakeholders, additional costs and the impact on the investment appraisal. The poorer answers repeated the facts given in the scenario without adding any further discussion or focussed too heavily on just one area like reputation. There was some confusion about the legal standing of the Charter and some candidates mistakenly went on to discuss Pryor's legal duties instead.

Summary

Overall, this was a good international investment question that allowed well prepared candidates to do very well while still giving the opportunity to the less well prepared candidates to gain a credible pass. Thorough reading of the scenario, planning and a structured approach benefitted many candidates and ensured time was not wasted on needless calculations but directed at the key areas. The ability to apply knowledge to a given scenario is a skill required throughout this stage of the qualification and reinforces the need to practice past questions under exam conditions and study model answers.

Frongoch Co

The screenshot displays the AFM March/June 2022 (21/22 syllabus) exam interface. On the left, there is a sidebar with 'Exhibits' (Frongoch Co hedging a payment, Alternative exchange rate scenarios), 'Requirements' (Requirements (25 marks)), and 'Response Options' (Word Processor, Spreadsheet). The main area shows the question text and requirements. The question text states: 'The following exhibits, available on the left-hand side of the screen, provide information relevant to the question: 1. Frongoch Co hedging a payment 2. Alternative exchange rate scenarios – scenarios as at 1 August. This information should be used to answer the question requirements within your chosen response option(s)'. The requirements are listed as follows: (a) Recommend, on financial grounds, a hedging strategy for the €18,250,000 payment using the market data available on 1 March (exhibit 1) and assuming the options are exercised. Assume basis diminishes to zero at contract maturity at a constant rate, based on monthly intervals. (9 marks) (b) Evaluate the impact on the results of using the three hedging instruments being considered if the rates and futures prices are as per scenarios (i) and (ii) on 1 August (exhibit 2). (6 marks) (c) Explain what is meant by basis and basis risk, and discuss the impact of basis risk on the hedging decision being considered in (a) and (b). (4 marks) (d) Explain the reasons why local treasury functions may be established in countries where Frongoch Co operates. (6 marks)

Frongoch Co was a 25-mark question, which translates into 45 minutes of the exam (based on 1.8 minutes per mark). The question is drawn from Section E of the syllabus, focusing on advanced risk management techniques.

Exhibit one presented information about a company, Frongoch Co, which is based in the United States (US). Frongoch Co's treasury department is currently centralised but the board is considering whether to establish additional treasury functions in some, or all, of the other countries in which the company operates. Frongoch Co is also due to make a payment in euros to a German supplier in five months' time. This payment exposes Frongoch Co to foreign exchange risk and the treasury team is considering a number of possible hedging methods. Market data was provided in the exhibit that would be relevant to that decision. The treasury team has also been asked to consider the significance of basis risk in deciding how the foreign exchange risk should be hedged. Exhibit two, therefore, presented market data according to two possible future scenarios, which would be relevant to that request.

The initial requirement asked candidates to perform hedging calculations, based on the market data available today. Candidates were then asked to evaluate the impact on their results from the previous requirement according to the two possible scenarios that might arise on the payment due date. Candidates were also asked to explain what is meant by basis and basis risk and to discuss the impact of basis risk on the hedging decision. Finally, candidates were asked to explain the reasons why local treasury functions may be established in countries where Frongoch Co operates.

The requirements in this question are technically demanding. However, candidates who were well prepared were able to demonstrate the requisite level of technical competence and scored high marks. Overall, many candidates coped quite well with the hedging calculations in the initial requirement and the discussion in the final requirement but the responses to the second and third requirements, relating to candidates' understanding of basis and basis risk were quite disappointing. The detailed review below focuses on the key problems that were identified.

Requirement (a) – 9 marks

(a) Recommend, on financial grounds, a hedging strategy for the €18,250,000 payment using the market data available on 1 March (exhibit 1) and assuming the options are exercised. Assume basis diminishes to zero at contract maturity at a constant rate, based on monthly intervals.

Requirement (a) asked candidates to recommend a hedging strategy for the payment to the German supplier. The foreign exchange risk associated with this payment was to be hedged based on a choice of forward contracts, exchange-traded futures and options. Candidates were expected to perform hedging calculations before making an overall recommendation, on financial grounds, that was consistent with their own results. Overall, candidates generally performed satisfactorily on this requirement with many candidates scoring high marks.

Most candidates were able to select the appropriate forward rate although a significant minority applied the ask rate rather than the bid rate. Another common error in this requirement included ignoring the comparatively easy marks that were available for identifying whether the futures hedge is initiated by taking a long or short position or the number of contracts that would be required. Candidates who made it clear that they were buying 146 September contracts earned two easy marks. As with previous exam sessions, a considerable number of candidates struggled to calculate the predicted futures price correctly and a significant minority of candidates ignored this calculation completely.

There was another relatively easy mark available for setting up the options hedge, where candidates were expected to state clearly that Frongoch Co should buy 146 September call options. The premium calculation was often incorrect with a significant number of candidates converting it into US dollars using the spot rate even though it was quoted in US cents in the scenario. Another common error included subtracting rather than adding the premium when calculating the total payment under the options hedge. There was another mark for making a recommendation, on financial grounds, although many candidates ignored this part of the requirement even though it should have been straightforward. Candidates are strongly advised that they can still earn full follow through credit for their recommendation as long as their advice is consistent with their own calculations.

Requirement (b) – 6 marks

(b) Evaluate the impact on the results of using the three hedging instruments being considered if the rates and futures prices are as per scenarios (i) and (ii) on 1 August (exhibit 2).

Requirement (b) asked candidates to evaluate the impact on their results from part (a) based on two possible scenarios for the exchange rates and futures prices on the payment due date in five months' time. Both scenarios predict a weakening of the US dollar relative to the euro between now and the payment due date but with different assumptions about basis. Overall, most candidates found this requirement extremely challenging simply because they failed to identify the potential for basis risk.

The vast majority of candidates also failed to recognise that the forward contract results in a fixed outcome and the result from part (a) would therefore be unaffected by any change in the forward rate on the payment due date. Most candidates then wasted time on further calculations, confusingly using the forward rate on the payment due date to hedge a payment that was expected to be made on the same date.

In theory, the futures hedge should also provide a fixed outcome but in practice futures contracts are exposed to basis risk, which arises when the price of a futures contract does not have a predictable relationship with the spot price of the instrument being hedged. However, according to the first scenario, this is not an issue since basis has diminished at a constant rate exactly as candidates were asked to assume in requirement (a). Under these circumstances, the futures hedge would not change from the result predicted in requirement (a). Most candidates failed to recognise this point and therefore wasted significant amounts of time on unnecessary calculations.

The second scenario in exhibit two introduces basis risk as a possibility. Under these circumstances, the outcome of the futures hedge would differ from the result predicted in requirement (a). Very few candidates recognised this point and most were therefore unable to correctly calculate the outcome of the futures hedge when basis risk was introduced. Many candidates wasted time on calculations that continued to hedge the payment for a further five months even though this was not part of the requirement.

In respect of the options hedge, very few candidates understood that the spot rate in the first scenario was an improvement on the exercise price and that the option would therefore be allowed to lapse. Once again, many candidates wasted time on calculations that continued to hedge the payment for a further five months.

Requirement (c) – 4 marks

(c) Explain what is meant by basis and basis risk, and discuss the impact of basis risk on the hedging decision being considered in (a) and (b).

Requirement (c) asked candidates to explain what is meant by basis and basis risk and to discuss the impact of basis risk on the hedging decision in requirements (a) and (b). Overall, candidates struggled to gain high marks in this requirement.

Many candidates were able to provide excellent definitions of basis and basis risk but very few discussed the impact of basis risk in the second part of the requirement. This was mainly due to the intractable problem that most candidates had failed to recognise the existence of basis risk in requirement (b) and were therefore not in a position to discuss how it might impact their hedging decision in this later requirement.

Candidates are therefore strongly reminded that questions are designed to test the application of knowledge and candidates who take their time to apply their knowledge to the scenario will always score much higher marks than those who rely on rote-learned definitions.

Requirement (d) – 6 marks

(d) Explain the reasons why local treasury functions may be established in countries where Frongoch Co operates.

Requirement (d) asked candidates to explain the reasons why local treasury functions may be established in countries where Frongoch Co operates. Overall, this requirement was reasonably well attempted by many candidates. A common error found in a minority of scripts involved confusing local treasury functions with a centralised treasury function. Credit was still awarded where candidates discussed the disadvantages of a centralised treasury function but there were no marks available for the advantages. Another common error involved discussing the disadvantages of local treasury functions even though this was also not part of the requirement.

Both errors could have been avoided by a more careful reading of the scenario and requirement before beginning the answer. Candidates are therefore reminded to take the time to plan carefully so they do not waste valuable time on answers that are not part of the requirement.

Summary

Overall, candidates performed quite well on the parts of the exam that would have been more familiar to them from previous exam sittings. However, the responses to requirements (b) and (c) were for the most part quite disappointing. It is possible that candidates were not adequately prepared for these requirements based on the expectation that this topic would not be examined in such depth even though similar requirements have appeared in recent exam questions. Candidates are therefore reminded that their exam preparation requires a sound knowledge and understanding of the entire AFM syllabus and that question spotting is a dangerous strategy that is prone to failure. Successful candidates demonstrated the ability to apply their knowledge and understanding to the scenario and provided balanced responses to each requirement.

Charborough Co

The screenshot displays the AFM March/June 2022 exam interface. On the left, there is a sidebar with 'Exhibits' (1. Introduction - Charborough Co, 2. Sale of coffee shops, 3. CC's statement of financial position, 4. Other information), 'Requirements' (Requirements (25 marks)), and 'Response Options' (Word Processor, Spreadsheet). The main area shows the question text: 'The following exhibits, available on the left-hand side of the screen, provide information relevant to the question: 1. Introduction - Charborough Co - including an alternative suggestion from a non-executive director; 2. Sale of coffee shops; 3. CC's statement of financial position; 4. Other information. This information should be used to answer the question requirements within your chosen response option(s).' Below this, the 'Requirements (25 marks)' section lists three parts: (a)(i) Calculate the expected sale price of the coffee shops. (4 marks); (a)(ii) Calculate the impact of the sale of the coffee shops on CC's: forecast statement of financial position; forecast earnings per share; and weighted average cost of capital. (9 marks); (b) Evaluate the arguments for and against the decision to sell the coffee shops. (7 marks); and (c) Discuss the advantages and disadvantages of the suggestion made by the non-executive director. (5 marks).

Charborough Co (CC) was a 25-mark question, which translates into 45 minutes of the exam (based on 1.8 minutes per mark). The question is drawn from Sections B and D of the syllabus, involving a free cash flow valuation in the context of a business reorganisation. The individual question parts are broadly similar in nature and complexity to previous requirements that have been drawn from the same areas of the syllabus and should not have been unexpected. Having said that, this question required candidates to assimilate quite a lot of information and complete a number of challenging tasks in the time available.

Exhibit one presented background information about CC's two divisions, comprising fruit juice bars and coffee shops. The growth of the coffee shop division has started to decline and there is a suggestion that the coffee shops are now in need of significant refurbishment expenditure. A competitor is interested in acquiring the division and the information provided suggests CC's board is likely to accept a reasonable offer. The disposal proceeds from the unbundling of the coffee shop division would be used to finance the refurbishment and expansion of the remaining fruit juice bar division.

Exhibit two provided detailed financial information about the coffee shop division for the purposes of calculating an expected sale price, based on a free cash flow valuation. Exhibits three and four expanded on the previous exhibits with CC's current statement of financial position together with financial information that would be useful in calculating the impact of an unbundling of the coffee shop division on the company's forecast statement of financial position, earnings per share and weighted average cost of capital.

The initial requirement asked candidates to calculate the expected sale price of the coffee shops and the impact of the sale of the coffee shops on CC's forecast statement of financial position, forecast earnings per share and weighted average cost of capital. Candidates were then asked to evaluate the arguments for and against the decision to sell the coffee shops. Finally, candidates were asked to discuss the advantages and disadvantages of a suggestion made by the non-executive director, which involved moving the coffee shop into a separate company, still owned by CC, whilst also offering a minority of shares on the stock market.

The individual requirements in this question were not technically complicated but there was a lot of work to do in the time available. Many candidates seemed to have managed their time better compared to previous exam sessions and this might help to explain the satisfactory performance for this question. That said, the forecast statement of financial position and earnings per share calculations were often disappointing and too many candidates spent time on irrelevant points in their discussion sections. The detailed review below focuses on the key problems that were identified in each of the requirements.

Requirement (a)(i) – 4 marks

(a)(i) Calculate the expected sale price of the coffee shops.

Requirement (a)(i) asked candidates to calculate the expected sale price of the coffee shops. Candidates were expected to perform a free cash flow valuation using the information provided in exhibit two. Overall, candidates generally performed satisfactorily on this requirement with many candidates scoring high marks. The most common error involved adjusting the capital investment on an incremental basis whereas a more careful reading of the information provided would have avoided this problem. Some candidates struggled with the terminal value calculation, most frequently forgetting to discount back to today's date.

Requirement (a)(ii) – 9 marks

(a)(ii) Calculate the impact of the sales of the coffee shops on CC's:

- **forecast statement of financial position;**
- **forecast earnings per share; and**
- **weighted average cost of capital**

Requirement (a)(ii) asked candidates to calculate the impact of the sale of the coffee shops on CC's forecast statement of financial position, earnings per share and weighted average cost of capital. Overall, candidate performance was quite mixed although there were some excellent answers to this requirement. Many candidates seemed to be much more comfortable with the forecast weighted average cost of capital calculation but struggled with the earlier parts of the requirement.

Initially, candidates were expected to calculate the profit on disposal and the investment in non-current assets that would result from the unbundling of the coffee shop division, using the sales price calculated in requirement (a)(i). Candidates were then expected to use these figures to produce a forecast statement of financial position for CC. A significant number of candidates calculated either the profit on disposal or the investment in non-current assets but not both. Many candidates struggled with the journal entries and very few were able to produce a forecast statement of financial position that balanced, most often ignoring the impact on retained earnings.

Candidates were then expected to calculate the interest saved and return on additional non-current assets and to use these figures to calculate the impact on CC's earnings per share. Since the current earnings per share forecast was not provided in the background information, candidates were therefore expected to recognise there was a need to perform both current and revised forecast earnings per share calculations. Many candidates therefore lost a relatively easy mark by ignoring the need for a current earnings per share calculation. Other common errors involved ignoring tax in the interest saved and return on additional asset calculations. A small but significant number of candidates incorrectly used retained earnings to calculate CC's earnings per share.

Finally, candidates were expected to calculate the impact on CC's weighted average cost of capital. Many candidates scored full marks in this section as long as they understood how to regear the asset beta for CC's fruit juice bars. A significant number of candidates ignored the need for a revised equity beta, erroneously using the asset beta to calculate the cost of equity. Another common error involved using the pre-tax cost of debt in the weighted average cost of capital calculation. A small number of candidates wasted precious exam time calculating CC's current weighted average cost of capital even though this was already provided in exhibit two. Candidates are therefore reminded to read the question carefully.

Requirement (b) – 7 marks

(b) Evaluate the arguments for and against the decision to sell the coffee shops.

Requirement (b) asked candidates to evaluate the arguments for and against the decision to sell the coffee shop division. Overall, there were many excellent answers to this requirement but a significant number of candidates provided very limited responses. Some candidates put forward arguments either for or against the sale but not both, which limited the marks that were available to them.

Candidates who took the time to think about the scenario and apply their knowledge in the context of CC's reorganisation and expansion plans were able to provide a balanced evaluation of the impact of the unbundling of the coffee shop division and performed much better than candidates who responded with brief bullet points they had rote learned. Examples of the ranges of points that were discussed by candidates are as follows:

“The sale of the coffee shop division may damage CC's reputation.”

Based on the information provided, there is no obvious reason for such a statement and the candidate did not provide any further explanation. Candidates are advised that statements such as this will not be awarded credit in the exam, without some form of further justification.

“Selling the coffee shop division will generate cash to expand and refurbish the fruit juice bar division.”

This statement has good application to the scenario and would be awarded one mark.

“The disposal proceeds can be used to refurbish the juice bars, which reduces the cost of capital and avoids the need to raise more debt to fund the refurbishment of both divisions.”

This statement has excellent application to the scenario, whilst it also recognises and resolves the conflicting objectives faced by the board since both divisions potentially need finance for refurbishment expenditure. This statement would therefore be awarded two marks.

Requirement (c) – 5 marks

(c) Discuss the advantages and disadvantages of the suggestion made by the non-executive director.

Requirement (c) asked candidates to discuss the advantages and disadvantages of the alternative suggestion made by the non-executive director. Once again, there were many excellent responses to this requirement although a significant number of candidates wasted time repeating points made in requirement (b) and/or repeating the question narrative, neither of which were awarded credit. There were also a significant number of candidates who wasted time discussing points that were not relevant to the scenario, particularly relating to the role of non-executive directors. Candidates are therefore reminded to take the time to read and understand the background information carefully and to directly address each of the requirements.

Examples of the range of points that were raised by candidates are as follows:

“Non-executive directors play a critical role in boardroom best practice, independently monitoring and scrutinising the decisions of the board.”

Although this is an excellent précis on the role of non-executive directors, it misses the point of the requirement and therefore would not be awarded any marks.

“The non-executive’s suggestion to list the company may give rise to expensive legal costs”

This statement addresses one of the disadvantages of the suggestion and would be awarded one mark.

“The suggestion assumes the listing can be achieved easily, when in practice it may be expensive, time consuming and difficult, particularly if the coffee shop division’s growth continues to slow down.

This statement has excellent application to the scenario and expands on the previous candidate’s point about a listing being expensive. This statement would be awarded two marks.

Summary

Overall, candidates performed quite well on this question although many struggled with the forecast statement of financial position and earnings per share calculations and too many wasted time on irrelevant points and/or unnecessary repetition in their

responses to requirements (b) and (c). Successful candidates took the time to read the question narrative and plan their answers carefully, directly addressing each of the requirements. Candidates are therefore reminded that these skills are developed through extensive question practice under the time limits that apply in this exam.